

INTRODUCTION TO NUMERAI WITH MEMES



WHAT'S THIS?

ABOUT JOE

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Work:

Data Scientist →

Meetup Organiser →

360 Selfie Photographer



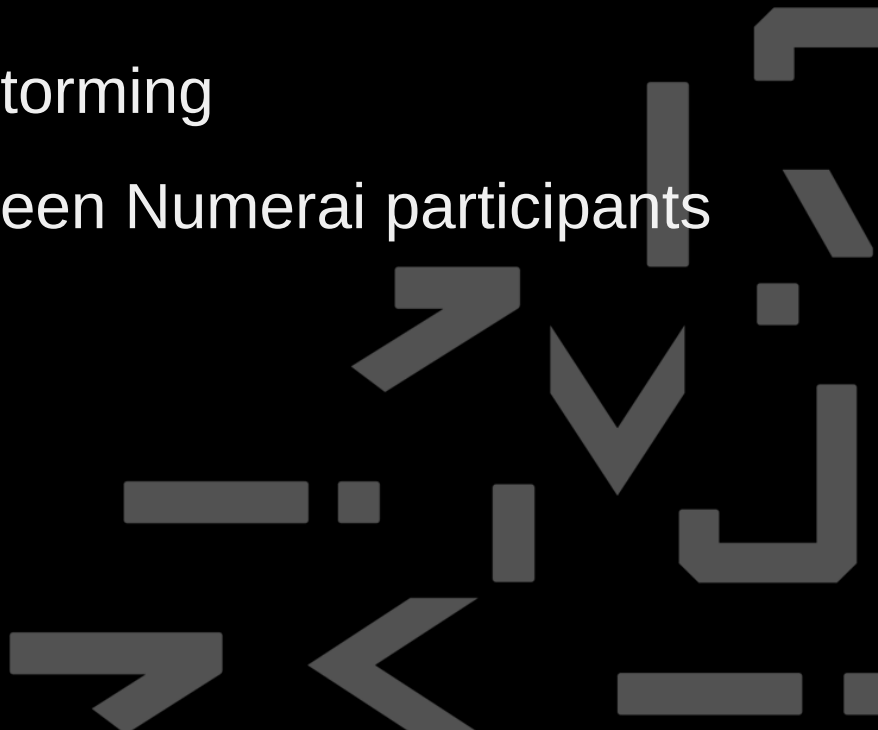
NumerCon 2022 Pre-conference Brunch

MEETUP GOALS

THE NUMERAI MEETUP GOALS

1. Demystifying Numerai
2. Knowledge sharing and brainstorming
3. Face-to-face discussions between Numerai participants and Numerai team members.

See the original proposal [here](#).



TODAY'S MEETUP TALKS

- Introduction to Numerai (with Memes)
- A Complete Beginner's Guide
- Signals - the Non-ML Approach
- Building a Profitable Signals Model
- From Tournament to Trading
- Community Fireside Chat



WHAT IS NUMERAI?

Life is Short.
Talk Memes to Me.



WEN SCORES



THE NUMERAI TOURNAMENT

Numerai runs a tournament every week where data scientists make predictions on the stock market using data that Numerai provides.

These predictions are used to create a "meta model", which runs Numerai's internal hedge fund.

You join the tournament here: <https://numer.ai>

Credits: [@LiamHinzman](#)



NUMERAI ON THE WEEKEND



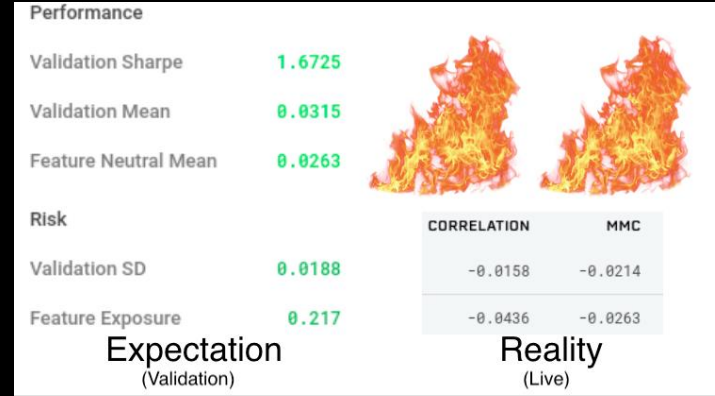
STAKING

People stake NMR (Numerai's cryptocurrency) to indicate how confident they are in their predictions.

Competitors who made good predictions are rewarded, and the NMR staked on poorly performing models gets destroyed.

Don't overfit, or you'll get burned.

Credits: [@LiamHinzman](#)

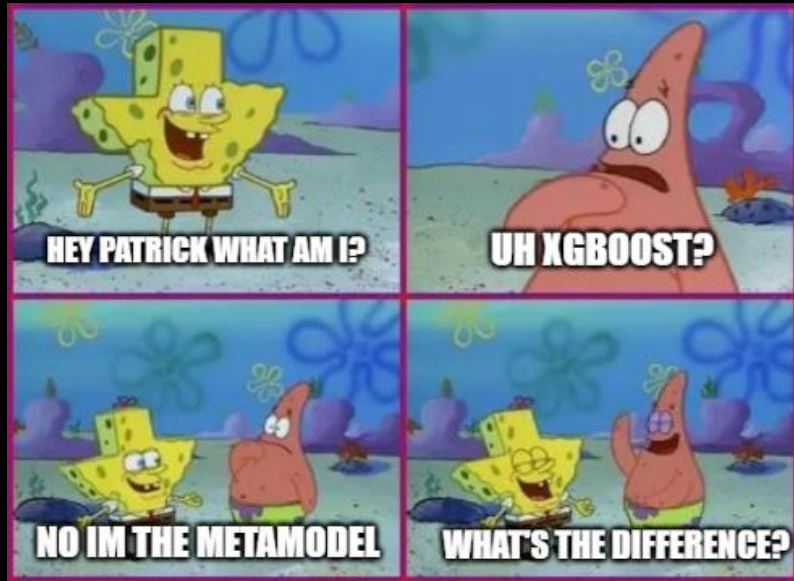


XGBOOST, XGBOOST EVERYWHERE

On Kaggle, you're scored by how accurate your predictions are. This incentivizes everybody to use unoriginal approaches that perform well.

Old versions of Numerai's tournament did this as well, which led to tons of people using XGBoost, a simple and effective ML algo.

Credits: [@LiamHinzman](#)



INTELLIGENCE CONTRIBUTING MODELS?

AUC against target?

logloss against classification target?

correlation with returns?

correlation with residual return targets?

MMC? FNC?

INTELLIGENCE CONTRIBUTING MODELS?

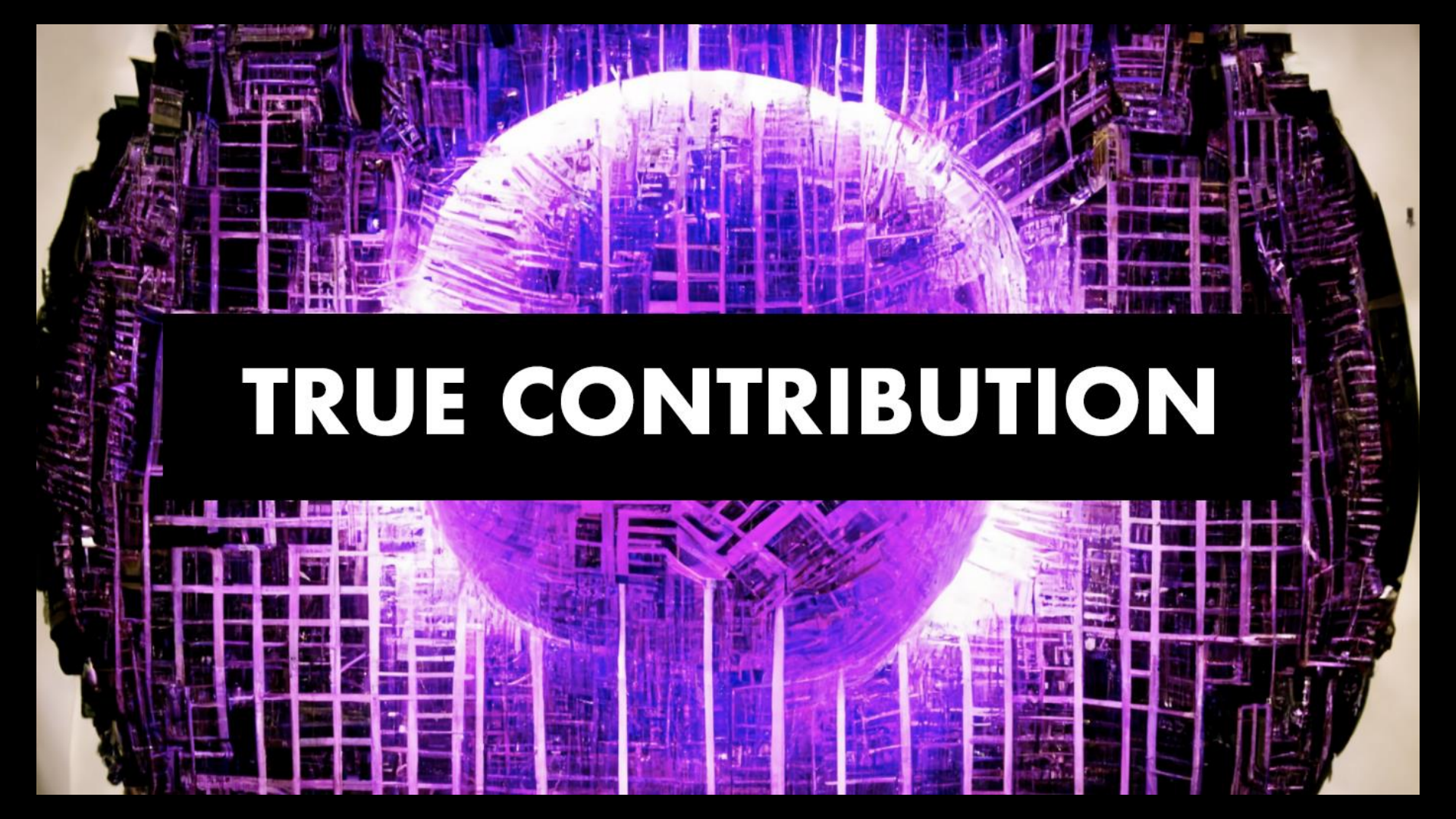
AUC against target?

logit against classification target?

correlation with returns.

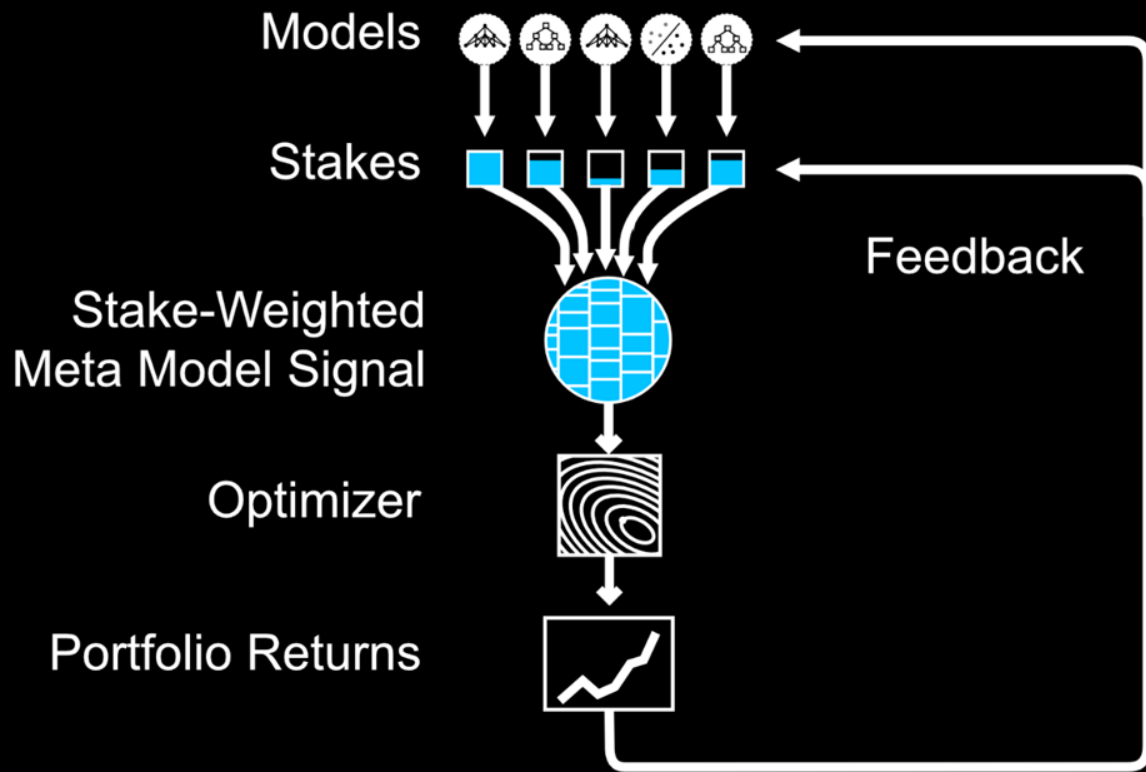
correlation with residual return targets?

MMCC FNC?



TRUE CONTRIBUTION

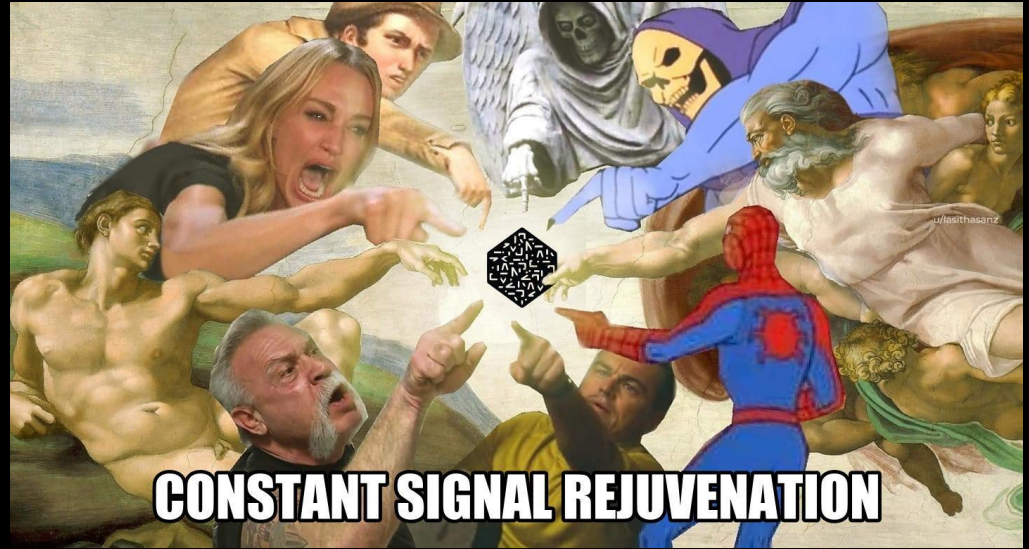
TRUE CONTRIBUTION



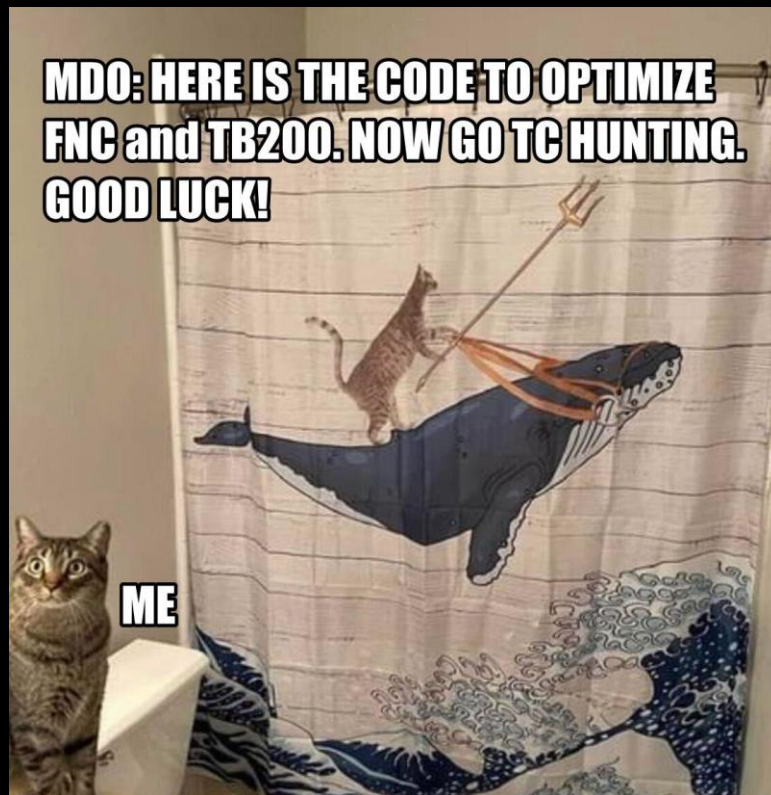
NUMERAI IN ONE MEME

It's crazy to me how Numerai is able to coordinate people around the world to solve a really hard problem.

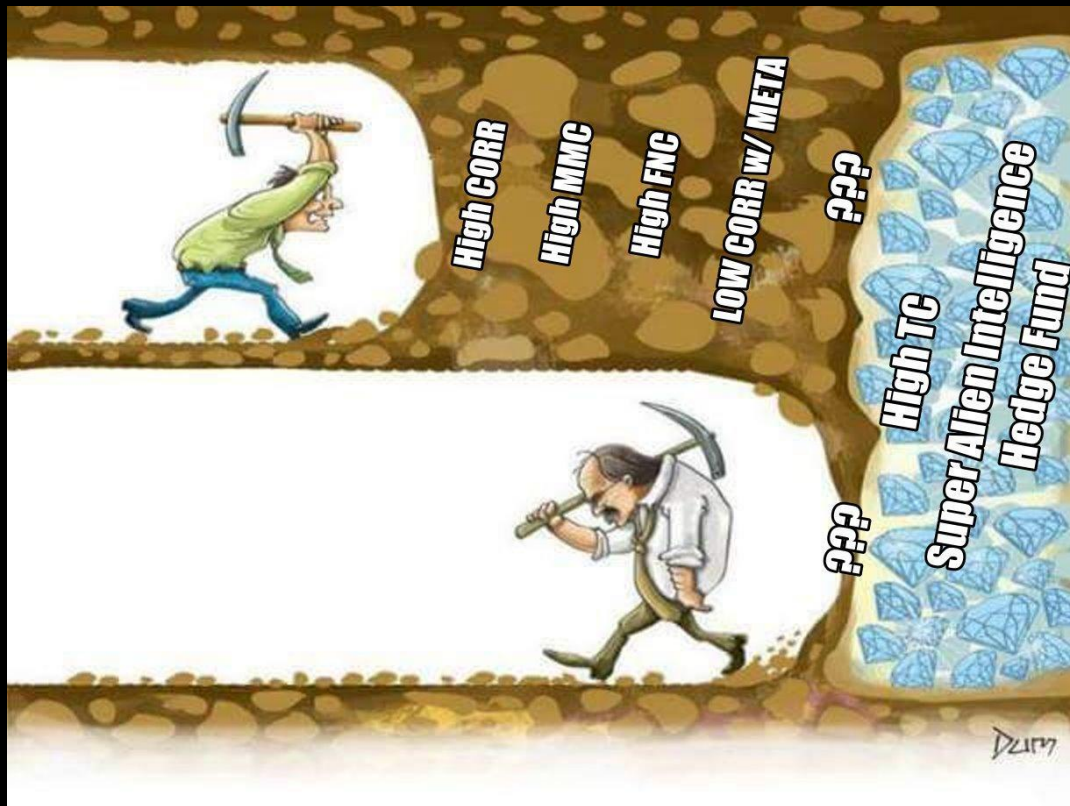
There's no elaborate web of trust here, it's all just game theory.



TRUE CONTRIBUTION IS HERE. LET'S GO!



WHERE ARE WE NOW?



SIGNALS

Numerai also launched Signals. It lets you upload stock market signals, which are scored and rewarded on originality.

Credits: [@LiamHinzman](#)



THANK YOU

